		divided by double yellow lines for two-lane vehicular travel and is open to the public for use by RV's, trailers, campers, busses, trolleys, and commercial trucks. (*See* Pltf.'s Sep St. No. 5 [and evidence cited therein]; Pltfs.' Add. Sep. St. No. 4 [and evidence cited therein].) In other words, the incident here took place in a location that is simultaneously a recreational bikeway, parking lot, and roadway. None of the authorities cited by Defendant extends trail immunity to bikeways that include paved parking lots and/or roads, and the court has found no such authority. Furthermore, Defendant does not submit evidence sufficient to show the location was designed to be a bikeway, given the multiple other uses. Defendant's sole submitted photographic evidence of the area depicts a two-lane roadway or parking lot divided by double yellow lines and no apparent designated area for bicyclists. (Adams Decl., Ex. 7.) The photograph reflects no signage or permanent markings to designate a bike route. (*See id.*) **<u>Purpose of Immunity Statute</u>** The location includes "two-lane vehicular travel" and is referred to in at least one publication as "Beach Road." (Def.'s Sep. St. No. 12; *see* Pltf.'s Sep. St. No. 5 [citing in part Kibbey Depo. at 26:25-27:2].) Given the conflicting evidence as to whether the location is considered a public road or street, and the undisputed fact that motor vehicles regularly share the road here, the court cannot conclude as a matter of law that the purpose of the immunity statute would be promoted by its application here. Plaintiffs' evidentiary objection No. 2 is overruled. The remainder of the objections were not material to the disposition of this motion. (Code Civ. Proc., § 437c(q).) Plaintiffs to give notice.
10	Smurro v. JPMorgan Chase Bank, N.A.	**TENTATIVE RULING:** **<u>Petition to Compel Arbitration</u>** Defendant Fidelity Brokerage Services, LLC, erroneously sued as Fidelity Investments ("Fidelity"), petitions to compel arbitration of all the claims asserted by Plaintiff Thomas E. Smurro in his operative Complaint against Fidelity. For the following reasons, Fidelity's petition is GRANTED.

Application of the CAA and FAA

The Arbitration Agreement states: "This agreement and its enforcement are governed by the laws of the Commonwealth of Massachusetts, except with respect to its conflicts-of-law provisions." (Bacon Decl. ¶ 8, Ex. B.)

In *Nedlloyd Lines B.V. v. Superior Court* (1992) 3 Cal.4th 459, the California Supreme Court articulated the multistep choice of law analysis: "[T]he proper approach under Restatement section 187(2) is for the court first to determine either: (1) whether the chosen state has a substantial relationship to the parties or their transaction, or (2) whether there is any other reasonable basis for the parties' choice of law. If neither of these tests is met, that is the end of the inquiry, and the court need not enforce the parties' choice of law. [Fn. omitted.] If, however, either test is met, the court must next determine whether the chosen state's law is contrary to a *fundamental* policy of California. [Fn. omitted.] If there is no such conflict, the court shall enforce the parties' choice of law. If, however, there is a fundamental conflict with California law, the court must then determine whether California has a 'materially greater interest than the chosen state in the determination of the particular issue. ...' (Rest., § 187, subd. (2).) If California has a materially greater interest than the chosen state, the choice of law shall not be enforced, for the obvious reason that in such circumstance we will decline to enforce a law contrary to this state's fundamental policy. *Id*. at 466. The proponent of the choice of law provision bears the burden of meeting either the "substantial relationship," or "reasonable basis" prong. *Id*.

Although Fidelity appears to contend that Massachusetts law controls, Fidelity has not provided any evidence to establish either that Massachusetts has a substantial relationship to the parties or to the transaction or that there is a reasonable basis for Fidelity's and Nicholas Smurro's choice of law. Fidelity did not meet its burden under California's choice of law analysis to establish that the court should apply Massachusetts law.

Procedurally, the California Arbitration Act ("CAA") applies. "[T]he [Federal Arbitration Act's ("FAA")] procedural provisions do not apply in state court unless the parties expressly adopt them." (*Valencia v. Smyth* (2010) 185 Cal.App.4th 153, 177.) Nothing in the Arbitration Agreement shows the parties have done so here. Therefore, the CAA procedural rules apply. "[T]he FAA's procedural provisions (9 U.S.C. §§ 3, 4, 10, 11) do not apply unless the contract contains a choice-of-law clause expressly incorporating them.” (*Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal.App.5th 337, 345 [citations omitted].) “[T]he question is not whether the parties adopted the CAA’s procedural provisions: The state’s procedural statutes (§§ 1281.2, 1290.2) apply by default because Congress intended the comparable FAA sections (9 U.S.C. §§ 3, 4, 10, 11) to apply in federal court. The question, therefore, is whether the parties expressly incorporated the FAA’s procedural provisions into their agreements.” (*Id.*; see also *Cronus Investments, Inc. v. Concierge Services* (2005) 35 Cal.4th 376, 387 [“Our opinion does not preclude parties to an arbitration agreement to expressly designate that any arbitration proceeding should move forward under the FAA's procedural provisions rather than under state procedural law” (italics omitted)].) Here, neither party argues that the Arbitration Agreement incorporates the FAA’s procedural provisions. Accordingly, the court finds that the CAA’s procedural provisions apply.

Substantively, the FAA applies (9 U.S.C. § 1 [FAA governs arbitration provisions in contracts that involve interstate commerce]; *Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 402–403, 405 [security brokerage agreements are governed by the FAA]; see also *Mastick v. TD Ameritrade, Inc.* (2012) 209 Cal.App.4th 1258, 1263.) Although “the [FAA] [citation] applies, state law governs such matters as who is bound by and who may enforce an arbitration agreement. [Citations.]” (*Thomas v. Westlake* (2012) 204 Cal.App.4th 605, 614, fn. 7.)

Arbitration, whether under the CAA or FAA, “is a matter of consent, not coercion … a party cannot be required to submit to arbitration any dispute which he has not agreed so to submit.” (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236 [internal quotations and citations omitted].) The existence of a valid agreement to arbitrate is a “question of arbitrability” to be decided by the court unless the parties expressly agree otherwise. (*Garden Fresh Restaurant Corp. v. Superior Court* (2014) 231 Cal.App.4th 678, 684 citing *Howsam v. Dean Witter Reynolds, Inc.* (2002) 537 U.S. 79, 83 [questions of arbitrability include whether parties are bound by an arbitration clause or whether binding clause applies to particular case or controversy].)

The party seeking to arbitrate must prove the existence of the agreement. (*Pinnacle,* 55 Cal.4th at 236.) If an agreement exists, then public policy substantially favors arbitration (see Code Civ. Proc. § 1281.2 [court shall order arbitration if it determines valid

		agreement to arbitrate exists]) and the burden shifts to the party opposing arbitration to "demonstrate that an arbitration provision *cannot* be interpreted to require arbitration of the dispute." (*Coast Plaza Doctors Hospital v. Blue Cross of California* (2000) 83 Cal.App.4th 677, 686-87.) But "'[t]here is no public policy in favor of forcing arbitration of issues the parties have not agreed to arbitrate.'" (*Romo v. Y-3 Holdings, Inc.* (2001) 87 Cal.App.4th 1153, 1158, quoting *Marcus & Millichap Real Estate Investment Brokerage Co. v. Hock Investment Co.* (1998) 68 Cal.App.4th 83, 89.) Courts apply general state contract law to determine consent. (*Marcus & Millichap*, 68 Cal.App.4th at 89.) In resolving a petition to compel arbitration, "the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination." (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.) **Existence of a Valid Agreement to Arbitrate the Claims** The party seeking to compel arbitration bears an initial burden to make a prima facie showing the claims asserted in the complaint are covered by a valid agreement to arbitrate. (*Molecular Analytical Systems v. Ciphergen Biosystems, Inc.* (2010) 186 Cal.App.4th 696, 710-711.) " 'In determining whether an arbitration agreement applies to a specific dispute, the court may examine only the agreement itself and the complaint filed by the party refusing arbitration.' " (*Laymon v. J. Rockliff, Inc*. (2017) 12 Cal.App.5th 812, 819, 219 Cal.Rptr.3d 185.) When that prima facie showing has been made, the court must compel arbitration unless the party opposing arbitration demonstrates the dispute falls outside the scope of the agreement. (*Laymon*, 12 Cal.App.5th at 820; *see Molecular Analytical*, 186 Cal.App.4th at 710-711 [where "defendants made a sufficient prima facie showing of an agreement to arbitrate, based not only on the allegations of the complaint but also on their moving papers and on their proffer of the [arbitration] [a]agreement," the burden was on the party resisting arbitration to demonstrate its claims were not arbitrable].) By this motion, Fidelity seeks to compel arbitration to the pre-dispute arbitration clause ("Arbitration Agreement") agreed to by Plaintiff's father, Nicholas Smurro ("Nicholas"), when Nicholas opened a Fidelity brokerage account. (Bacon Decl. ¶¶ 5-9, Exs. A-B.)

The Arbitration Provision provides:

This agreement contains a pre-dispute arbitration clause. Under this clause, which you agree to when you sign your account application, you and Fidelity agree as follows:

[¶] … [¶]

All controversies that may arise between you and us concerning any subject matter, issue or circumstance whatsoever (including, but not limited to, controversies concerning any account, order distribution, rollover, advice interaction, or transaction, or the continuation, performance, interpretation or breach of this or any other agreement between you and us, whether entered into or arising before, on or after the date this account is opened) shall be determined by arbitration through the Financial Industry Regulatory Authority (FINRA) or any United States securities self regulatory organization or United States securities exchange of which the person, entity or entities against whom the claim is made is a member, as you may designate.

(Bacon Decl. ¶ 8, Ex. B [emphasis in original].)

The Complaint alleges causes of action for breach of fiduciary duty (second cause of action), negligence (third cause of action), and declaratory relief (seventh cause of action) against Fidelity. (See, generally, Compl. [ROA No. 43].) Specifically, the Complaint alleges Fidelity failed to give account and beneficiary information for Nicholas Smurro's Fidelity account to Plaintiff, in his capacity as beneficiary, executor of the will and the successor trustee of Nicholas Smurro's trust. (Compl. ¶¶ 33-35, 38.) The Complaint also alleges Fidelity refused to distribute the account's assets as requested by Plaintiff and refused to return the $28,618.63 that Plaintiff alleges was illegally transferred to the Fidelity account. (*Id*. at ¶¶ 36-37, 39.) Plaintiff further alleges that Fidelity's mechanism to designate beneficiaries is below the standard of care and that Fidelity failed to send Defendant a confirmation for the beneficiary changes that were made on or about October 25, 2022. (Compl. ¶¶ 47-48.) The court finds that these claims are covered by the Arbitration Agreement.

Defendant submitted evidence demonstrating Nicholas opened a brokerage account ending in 0434 with Fidelity in November 2018. (Bacon Decl. ¶¶ 4, 6.) Defendant also provided evidence that Nicholas acknowledged that he received the Arbitration

		Agreement by selecting Open Account. (Bacon Decl. ¶¶ 6-7.) Fidelity's Customer Agreement, which contains the Arbitration Agreement, was delivered to and acknowledged by Nicholas. (Bacon Decl. ¶ 8.) Fidelity has met its initial burden to establish the existence of an arbitration agreement that covers the claims asserted against Fidelity. (*See Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1058 [concluding that the defendants met their initial burden by attaching to their petition a copy of the purported arbitration agreement bearing the plaintiff's electronic signature; once the plaintiff challenged the validity of that signature in his opposition, defendants were then required to establish by a preponderance of the evidence that the signature was authentic].) **<u>Waiver</u>** Code of Civil Procedure section 1281.2(a) provides in pertinent part: "On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] (a) The right to compel arbitration has been waived by the petitioner; or [¶] (b) Grounds exist for the revocation of the agreement …." Under both the Federal Arbitration Act and state law, waivers of the right to arbitrate are not lightly inferred. (*St. Agnes Medical Center v. PacifiCare of California* (2003) 31 Cal.4th 1187, 1196, citing *Christensen v. Dewor Developments* (1983) 33 Cal.3d 778, 782.) Thus, any doubts concerning waiver should be resolved in favor of arbitration. (*St. Agnes,* 31 Cal.4th at p. 1195.) In *St. Agnes,* the Supreme Court adopted a multifactor test for determining whether a party has waived the right to arbitrate: " 'In determining waiver, a court can consider "(1) whether the party's actions are inconsistent with the right to arbitrate; (2) whether 'the litigation machinery has been substantially invoked' and the parties 'were well into preparation of a lawsuit' before the party notified the opposing party of an intent to arbitrate; (3) whether a party either requested arbitration enforcement close to the trial date or delayed for a long period before seeking a stay; (4) whether a defendant seeking arbitration filed a counterclaim without asking for a stay of the proceedings; (5) 'whether important intervening steps [e.g., taking advantage of judicial discovery procedures not available in arbitration] had taken place'; and (6) whether the delay 'affected, misled, or prejudiced' the opposing party." ' " (*St.*

		Agnes, 31 Cal.4th at 1196, 8 Cal.Rptr.3d 517, 82 P.3d 727, quoting *Sobremonte v. Superior Court* (1998) 61 Cal.App.4th 980, 992, 72 Cal.Rptr.2d 43; accord *Wagner Construction Co. v. Pacific Mechanical Corp.* (2007) 41 Cal.4th 19, 30–31; *Fisher v. A.G. Becker Paribas Inc.* (9th Cir. 1986) 791 F.2d 691, 694 ["A party seeking to prove waiver of a right to arbitration must demonstrate: (1) knowledge of an existing right to compel arbitration; (2) acts inconsistent with that existing right; and (3) prejudice to the party opposing arbitration resulting from such inconsistent acts."].) Plaintiff contends Fidelity waived its right to arbitrate because Fidelity insisted that Plaintiff provide "a Court Order specifically directing Fidelity to restrict the account or other pleading indicating that a lawsuit has been filed contesting the beneficiary designations." (T. Smurro Decl. ¶¶ 2-265, Exs. 6-7.) Fidelity's request that Plaintiff produce a court order or pleading does not lead to the conclusion that Fidelity's actions are inconsistent with the right to arbitrate. Fidelity's requirement of a lawsuit contesting the account's beneficiary designations is not equivalent to Fidelity advocating that Plaintiff initiate litigation against Fidelity. Moreover, aside from labeling Fidelity's actions as "behavior [that] is stereotypical of what constitutes bad faith and breach of fiduciary duty" and warning any release of restriction would "subject Fidelity to all legal remedies available at law", there is no evidence that Plaintiff indicated that he would pursue claims against Fidelity. (See *id*. at ¶ 24, Ex. 5.) In addition to failing to demonstrate that Fidelity's actions were inconsistent with the right to arbitrate, Plaintiff has not shown that the litigation machinery has been substantially invoked, that important intervening steps have taken place, or that there has been any prejudice to Plaintiff. Thus, the court finds Fidelity has not waived its right to arbitrate. **<u>Enforceability of the "Sign-in-Wrap" Agreement</u>** It is Fidelity's policy and regular business practice for clients to acknowledge reading and agreeing to the terms and conditions and account agreement for their new brokerage accounts at Fidelity by clicking a button on Fidelity's website that says "Open Account." (Bacon Decl. ¶ 4.) The account application completed by Nicholas Smurro stated: "By selecting Open Account Below, you acknowledge that you: Are the person named in this account application; Have been provided with the above documents electronically and do not need a paper copy; Have read and understood, and agree to be bound by the above documents, which

		set forth the terms and conditions of this account, as they are currently in effect and as they may be amended in the future, including but not limited to the Fidelity Account Customer Agreement and related documents, Terms and Conditions, consent to Householding of Shareholder Documents, Electronic Delivery Agreement and other applicable notices, disclosures and documents (collectively, the "Agreement"); Will electronically sign this application by selecting Open Account." (*Id*. at ¶ 6.) When opening the brokerage account with Fidelity, Nicholas Smurro acknowledged and agreed that the account was subject to an arbitration provision. (*Id*. at ¶ 7.) " '*Sign-in-wrap*' agreements are those in which a user signs up to use an internet product or service, and the sign-up screen states that acceptance of a separate agreement is required before the user can access the service. While a link to the separate agreement is provided, users are not required to indicate that they have read the agreement's terms before signing up. Instead, "the website is designed so that a user is notified of the existence and applicability of the site's 'terms of use' [usually by a textual notice] when proceeding through the website's sign-in or login process." (*Sellers v. JustAnswer LLC* (2021) 73 Cal.App.5th 444, 463–464.) The account agreement at issue is a sign-in wrap agreement. In *Sellers v. JustAnswer LLC* (2021) 73 Cal.App.5th 444, the Court of Appeal observed that federal courts generally uphold sign-in wrap agreements, "perhaps in part because the transactions at issue in [those] cases ... mostly involve a consumer signing up for an ongoing account and, thus, it is reasonable to expect that the typical consumer in that type of transaction contemplates entering into a continuing, forward-looking relationship." (*Id*. at 471.) Similar to the majority of the federal cases finding an enforceable sign-in wrap agreement involve continuing, a brokerage account involves a continuous, forward-looking relationship. (*Id*. at 476.) Because Nicholas Smurro signed up for an ongoing account, it is reasonable that the typical consumer in such transactions contemplates entering into a relationship governed by terms and conditions. Additionally, the hyperlink to the Arbitration Agreement is differentiated by color and its location is near the button Nicholas Smurro clicked to agree to open the account. (Bacon Decl. ¶ 6, Ex. A.) There are no other elements on the screen that obscures the notice of the existence of the Arbitration Agreement. (*Id*.) Given the content of the transaction, the sign-in wrap agreement

was sufficiently conspicuous to bind Nicholas Smurro and his "heirs, executors, administrators, successors or assigns", including Plaintiff. (Bacon Decl. ¶ 8, Ex. B.)

Unconscionability

A court may refuse to enforce an arbitration agreement that is unconscionable. (Civ. Code, § 1670.5.) Whether a provision is unconscionable is a question of law. (Civ. Code, § 1670.5(a); *Flores v. Transamerica* (2001) 93 Cal.App.4th 846, 851.)

"If the court as a matter of law finds the contract or any clause of the contract to have been unconscionable at the time it was made the court may refuse to enforce the contract, or it may enforce the remainder of the contract without the unconscionable clause, or it may so limit the application of any unconscionable clause as to avoid any unconscionable result." (Civ. Code, § 1670.5(a); *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 122.) The absence of a severability clause is irrelevant to the determination of whether the offensive provisions are "severable" for purposes of unconscionability analysis. Severability is decided as a matter of state law. (*Terminix Int'l Co., LP v. Palmer Ranch Ltd. Partnership* (11th Cir. 2005) 532 F.3d 1327, 1331.)

Unconscionability has a procedural and a substantive element: the procedural element focuses on the existence of oppression or surprise and the substantive element focuses on overly harsh or one-sided results. (*Armendariz,* 24 Cal.4th at 114.)

To be unenforceable, a contract must be both procedurally and substantively unconscionable, but the elements need not be present in the same degree. The analysis employs a sliding scale: ". . . the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (*Armendariz,* 24 Cal.4th at 114; *Mercuro v. Super. Ct.* (2002) 96 Cal.App.4th 167, 174-175.)

Procedural unconscionability concerns the manner in which the contract was negotiated and the parties' circumstances at that time. It focuses on the factors of oppression or surprise. (*Kinney v. United HealthCare Services, Inc.* (1999) 70 Cal.App.4th 1322, 1329.)

Absent no other indication of oppression or surprise, the degree of